

HS 205: Financial Accounting

Course Code	HS 205
Course Name	Financial Accounting
L-T-P-C	3-0-0-3
Prerequisites	Consent of the faculty member
Intended for	B.Tech
Distribution	Elective
Approval	2nd Adhoc Senate (May 2012), in the B.Tech HSS core (Humanities and Social Sciences streams) curriculum

Course Contents

- Module I** Financial Accounting- concept, importance and scope, accounting principles, journal, ledger, trial balance, depreciation (straight line and diminishing balance methods), preparation of final accounts with adjustments. Analysis and interpretation of financial statements meaning, importance and techniques, ratio analysis; fund flow analysis; cash flow analysis (AS-3). Cost accounting-meaning, importance, methods, techniques; classification of costs and cost sheet; inventory valuation; an elementary knowledge of activity based costing. Cost concepts, Direct & Indirect cost, Types of cost, full costing, overhead allocations, and preparation of cost sheet; Concept, distinctive features of Activity-Based Costing, Cost Drivers, Cost of Activities, and Cost object such as product, service, and customer; Product mix decisions, cost and financial profit reconciliation
- Module II** Management accounting- concept, need, importance and scope; Budgetary control- meaning, need, objectives, essentials of budgeting, different types of budgets; standard costing and variance analysis (materials, labour); marginal costing and its application in managerial decision making. Cost, Volume, Profit analysis, P/V ratio, analysis and implications, Concept and uses of contribution; Differential costing and incremental costing; concept, uses and applications; Method of calculation of these cost and its role in management decision making like sales, replacement, buying etc. Meaning, definition & objectives of fund flow statement, Meaning of funds & flow, Technique of preparation of fund flow statement-Sources of funds & application of fund, provision for income tax, proposed dividend, digging out hidden information, payment of dividend, purchase or sale of investments, uses of funds flow statement, limitations of funds flow statement, difference between: Schedule & Statement, Net profit & funds from operations, fund flow statement & income statement, fund flow statement & balance sheet.
- Module III** Meaning & objective of cash flow statement, Procedure of preparing cash flow statement-direct & indirect method, cash flows from operating activities, cash flow from investing activities, cash flows from financing activities, special aspects-provision for income tax, proposed dividend, provision for depreciation, depreciation on fixed assets, loss or profit on sale of fixed assets difference between fund flow statement & cash flow statement. Concept of standard costs, establishing various cost standards, calculation of Material Variance, Labour Variance, and Overhead Variance, and its applications and implications. Concept and various approaches to responsibility accounting, concept of investment center, cost center, profit center and responsibility center and its managerial implications, Transfer Pricing Multinational transfer pricing, market based transfer pricing, cost-based transfer pricing, Cost of Quality and Time.

Readings

1. Khan, M.Y. and Jain, P.K., **Management Accounting**, TMH.
2. Singhal, A.K. and Ghosh Roy, H.J., **Accounting for Managers**, JBC Publishers and Distributors.
3. Pandey, I.M., **Management Accounting**, Vikas Publishing House.
4. Horngren, Sundem and Stratton, **Introduction to Management Accounting**, Pearson Education.
5. Anthony R. N. and Reece J. S., **Management Accounting Principles**, Homewood, Illinois, Richard D. Irwin, 1995.
6. Hansen & Mowen, **Cost Management**, Thomson Learning
7. Mittal, S. N., **Management Accounting and Financial Management**, Shree Mahavir Book Depot.
8. Jain, S. P. and Narang, K. L., **Advanced Cost Accounting**, Kalyani Publishers.
9. Bhattacharyya S K and Dearden J, **Accounting for Management**, Vikas.
10. Williamson Duncan, **Cost & Management Accounting**, Wheeler Publishing.
11. Narayanswami, **Financial Accounting: A Managerial Perspective**, 2nd Edition, PHI.
12. Mukherjee, **Financial Accounting for Management**, TMH.
13. Ramchandran & Kakani, **Financial Accounting for Management**, 2nd Edition, TMH.
14. Ghosh T P, **Accounting and Finance for Managers**, Taxman.
15. Maheshwari S.N. & Maheshwari S K, **An Introduction to Accountancy**, 9th Edition, Vikas.
16. Gupta Ambrish, **Financial Accounting for Management**, 2nd Edition, Pearson Education.
17. Chowdhary Anil, **Fundamentals of Accounting and Financial Analysis**, Pearson Education.